

CASE STRATEGY GUIDE

David Modikwe vs Impact Empowerment Ventures (Pty) Ltd

Prepared by Sibusiso Mavuso, SGBS Group • March 2026

CONFIDENTIAL — PRIVILEGED & FOR CLIENT USE ONLY

CLIENT

David Modikwe

Capital & Projects Specialist, Thungela

AMOUNT AT RISK

R2,100,000

Invested 2020–2021 via Section 12J

OPPONENT

Impact Empowerment Ventures

In liquidation — Marumo Trustees appointed

QUALIFYING COMPANY

The Joseph Company / Muma

Class D Student Accommodation — reportedly performing well

Documents Prepared

#	DOCUMENT	RECIPIENT	PURPOSE
1	FSCA/FAIS Complaint	Financial Sector Conduct Authority	Regulatory complaint — investigate misconduct
2	Creditor Claim	Marumo Trustees (Liquidator)	Register as creditor + request information
3	Letter to QC	The Joseph Company / Muma	Confirm investment + protect beneficial interest

Recommended Sequence of Actions

PHASE 1 — IMMEDIATE (THIS WEEK)

Secure Position in Liquidation

1. **Send Creditor Claim** (Document #2) to Marumo Trustees via email AND registered post. This is the most time-sensitive — David MUST be registered as a creditor. Deadlines may already be approaching.
2. **Send Letter to QC** (Document #3) to Dandy Matamala. This creates a paper trail establishing David's beneficial interest and puts the QC on notice not to dispose of qualifying shares.

PHASE 2 — WITHIN 2 WEEKS

Engage the Regulator

3. **File FSCA Complaint** (Document #1) online at the FSCA portal or via email to complaints@fsc.co.za. Attach all supporting documents.
4. **Check IEV's FSP status** on the FSCA register to confirm whether IEV held a valid Financial Services Provider licence. This strengthens the FAIS grounds.

PHASE 3 — ONGOING

Monitor & Escalate

5. **Attend all creditors' meetings** — David has a right to attend and vote.
6. **Request Section 417/418 inquiry** at the creditors' meeting if circumstances warrant it.
7. **Monitor SARS position** — if the VCC is liquidated, SARS may seek to reverse the Section 12J tax deductions. Engage a tax advisor.
8. **Coordinate with other investors** to strengthen collective bargaining power and share legal costs.

Key Legal Arguments

1. Beneficial Ownership

David's strongest argument: he is the **beneficial owner** of the qualifying shares, even though they are registered in IEV's name. The funds were his; IEV was merely a conduit. If this argument succeeds, the shares should be **ring-fenced from general creditors**.

2. Engineered Liquidation

If IEV's debts were minor and the underlying investments are performing, the liquidation may constitute:

- **Voluntary liquidation** initiated by directors to avoid obligations
- **Reckless trading** under Section 22, Companies Act
- Grounds for **personal liability** of directors under Section 77, Companies Act

3. Breach of FAIS Act

If IEV was a licensed FSP, its failure to act in clients' best interests, provide transparent communication, and properly safeguard investor funds constitutes a breach of the FAIS Act and the General Code of Conduct.

Risk Assessment

HIGH

Ownership Gap

Qualifying shares are in IEV's name, not David's. He is at risk of being treated as an unsecured creditor in liquidation.

HIGH

Liquidation Priority

In SA insolvency law, secured creditors and SARS get paid first. Ordinary investors are near the bottom of the queue.

MED

SARS Clawback

If IEV loses VCC status, SARS may reverse David's Section 12J tax deductions — creating an additional liability.

MED

Information Asymmetry

David cannot get performance data or valuations from either IEV or the liquidator, limiting his ability to make informed decisions.

MED

Time Pressure

Liquidation processes have strict deadlines for filing claims. Missing these could forfeit rights permanently.

Documents David Should Gather

- ☐ All VCC Share Certificates (D4, D34, D86)
- ☐ All Investor Certificates from IEV
- ☐ The June 2025 statement from Impact
- ☐ All email correspondence (already available in the chain)
- ☐ Section 12J tax certificates used for SARS deductions
- ☐ ITA34 (SARS assessment) showing the Section 12J deductions claimed
- ☐ Marketing or promotional material from IEV (may show misrepresentations)
- ☐ Bank statements showing the R2.1m payments to IEV
- ☐ Certified copy of ID document

Key Contacts

ENTITY	ROLE	CONTACT
Marumo Trustees	Court-appointed Liquidator	info@marumotrustees.co.za / marumo@telkomsa.net
Dandy Matamala	QC Chairman (Muma / Joseph Co)	dandy@muma.co.za / 072 144 6185
Zethu Ndlangamandla	IEV Contact Person	zethu@impactinafrica.com / 082 778 8569
FSCA Complaints	Financial Regulator	complaints@fsca.co.za / 0800 110 443
FAIS Ombud	Dispute Resolution	info@faisombud.co.za / 012 762 5000
SARS	Tax Authority	0800 00 7277

Important Notes

Time is critical. Liquidation processes have deadlines for filing claims. Missing these could permanently forfeit David's rights. The creditor claim should be sent **this week**.

SARS clawback risk. If IEV loses its VCC status or the liquidation results in the Section 12J deductions being reversed, David could face a significant additional tax liability. He should consult a tax specialist urgently.

Legal representation. While these letters are a strong starting point, David should consider engaging an attorney specializing in **insolvency and financial services law** for creditors' meetings and any court proceedings.

Other investors. David is likely not alone. Coordinating with other affected investors (through the creditors' meeting) could strengthen collective bargaining power and share legal costs.